

Professional Management

Professionally managed companies are those that are managed by employees. In such companies, the chief executive officer often does not even have a financial stake in the company. He is at the helm of affairs because of his ability and experience.

The professional manager is a career employee and he remains at the seat of power so long as he meets his targets. Consequently, he is always result-oriented and his aim is often short term — the meeting of the annual budget. He is not necessarily influenced by loyalty to the company. As a professional he is usually aware of the latest trends in management philosophy and tries to introduce these. He tries to run his company like a lean, effective machine striving for increased efficiency and productivity. As a consequence, professionally managed companies are usually well organized, growth oriented and good performers. Investors are the recipients of regular dividends and bonus issues. The companies that come readily to mind are ITC, Infosys, HDFC and Hindustan Lever.

However, there is often a lack of long term commitment and sometimes a lack of loyalty. This is because the professional manager has to step down in time, to retire, and he cannot therefore enjoy the fruit of his labour for ever. Nor will his sons succeed him although some may try to see that this happens. One must also not forget that the professional manager is a mercenary. He sells his services to the highest bidder, and such individuals are consequently not usually known for their loyalty.

Companies now try to promote or create commitment by offering employees stock options. These devolve on employees after a specified period of service and are given to them on performance. The employee thus becomes a part owner and becomes thus involved in the profitability of the enterprise. Additionally as these devolve on the employee only after a time, he tends to stay till it does. As these options are given, often annually, the employee remains with the company for a significant period of time. It is a win-win situation for both. The company gets the services of a loyal competent employee. The employee builds his net worth.

In many professionally managed companies there is also a lot of infighting and corporate politics. This is because managers are constantly trying to climb up the corporate ladder and the end is often what matters,